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I & M Group: 3Q21 Earnings Note

I&M group's 3Q21 PAT edged up 25.06% y/y to **KES 5.74Bn** below our forecast of a 47% growth. The group's profit was mainly driven by a 19.89% y/y increase in Total operating income to **KES 19.86Bn** supported by interest income from government papers. Customer deposits grew 14.18% (below our forecast of a 20% growth) to **KES 288.68Bn** while the loan book grew by 11.80% to **KES 207.61Bn**.

- **Net Interest Income grows faster than Non funded Income:** Net interest income growth of 34.49% (marginally below our forecasted 36% growth) to **KES 14.73Bn** was mainly driven by income from government papers. Non-funded income decreased by 4.75% (lower than our expectations of a 25% growth) to **KES 5.87Bn** leading the revenue mix to shift to 70:30 for NII:NFI from 63:37 in 3Q20. Net interest margin (NIM) increased to 5.64% y/y from 5.30%, cost of funds and yield on assets both decreased to 3.77% and 9.54%, respectively.

- **Digital costs worsens efficiency:** The CTI ratio worsened to 33.06% mainly on the back of digitization costs as most nonbanking activities are still in the investment phase. The CTI increase was occasioned by a faster growth in Total Operating Expenses (+28.68% y/y to **KES 12.22Bn**) compared to a 19.89% growth in Total Operating Income. Against the industry trend, loan impairment provisions increased 31.41% y/y to **KES 2.83Bn** (+168.34% q/q).

- **Loan book monitoring boosts asset quality:** Gross NPLs increased by 0.69% y/y to **KES 22.71Bn**. NPL ratio decreased by 108 bps to 10.16% from 11.24% in 3Q20 below the current industry average of 13.60%. Consequently, the NPL Coverage improved to 70.59% from 66.78% in 3Q20. Improving economic conditions have created a better operating environment and therefore we expect the bank's asset quality to continue improving in the coming quarters.

Outlook

The performance was mainly driven by an increase in income from loans and government securities. However, we noted an increase in loan loss provisions even as the asset quality improved and a decline in non-interest income. Additionally, we observed a worsening in efficiency with the increase in CTI ratio attributable to digitization costs. Improvements from the regional subsidiaries and income from non banking activities are expected to boost future earnings growth.

29th November 2021

Current price: KES 20.90

Target price: KES 36.49

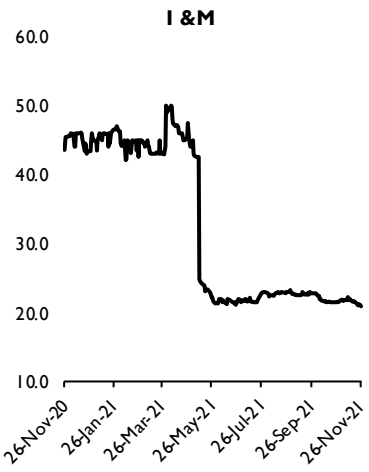
Upside: 42.72%

52 Week High: KES 50.00

52 Week Low: KES 20.90

YTD Performance: -53.96%

EPS (3Q21): 3.29



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Table 1 : Financial Statement Summary

Income Statement (KES Millions)	3Q20	FY20	3Q21	y/y % Change
Interest Income	19,739	27,849	22,845	15.74%
Interest Expense	9,338	12,249	8,857	-5.15%
Net Interest Income	10,401	15,600	13,988	34.49%
Non Interest Income	6,165	8,310	5,872	-4.75%
Total Operating Income	16,566	23,910	19,861	19.89%
Loan Loss Provision	2,150	2,473	2,825	31.41%
Operating expenses	7,343	9,806	9,390	27.87%
Profit Before Tax	6,498	10,952	8,095	24.59%
Profit For the period	4,588	8,413	5,738	25.06%
Basic and Diluted EPS	5.27	4.88	3.29	-37.57%

Balance Sheet (KES Millions)	3Q20	FY20	3Q21	y/y% Change
Cash Balances	15,569	20,026	25,372	62.96%
Government Securities	91,382	289,103	118,618	29.80%
Net Loans	185,694	187,391	207,605	11.80%
Total Assets	344,671	358,100	399,069	15.78%
Customer Deposits	252,829	262,681	288,685	14.18%
Total Liabilities	280,830	290,037	326,858	16.39%
Total Shareholder Equity	63,841	68,063	72,212	13.11%

Key Ratios	3Q20	FY20	3Q21	y/y Change
Loan to Deposit	73.45%	71.34%	71.91%	-1.53%
NPL Ratios	11.24%	11.61%	10.16%	-1.08%
NPL Coverage	66.78%	66.78%	70.59%	3.81%
NFI to Total Income	37.22%	34.76%	29.57%	-7.65%
NII to Total Income	62.78%	65.24%	70.43%	7.65%
Cost to Income	31.35%	30.67%	33.06%	1.71%
ROE	14.55%	13.24%	17.40%	2.85%
ROA	2.50%	2.40%	3.04%	0.54%
Liquidity Ratio	47.23%	50.51%	49.42%	2.19%
Core Capital/TRWA	16.59%	18.70%	15.97%	-0.62%
Total Capital/ TRWA	21.43%	22.03%	20.74%	-0.69%

Source: ABSA, AIB-AXYS



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